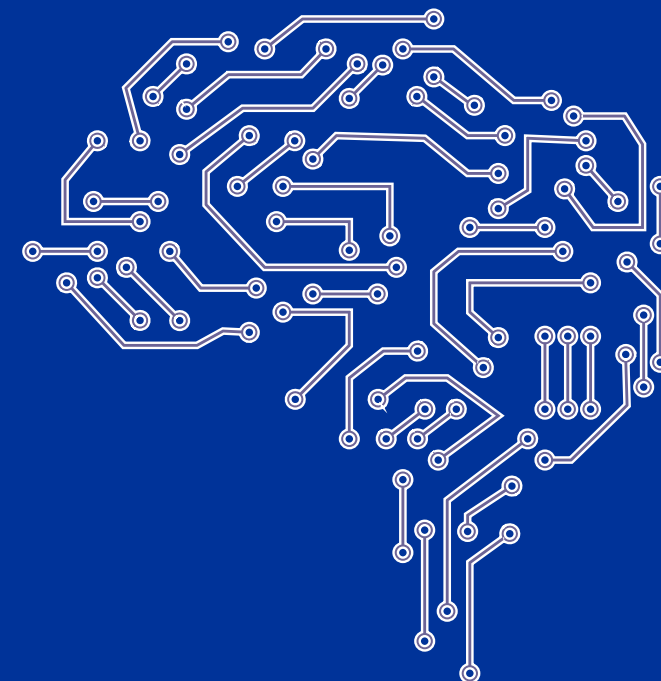


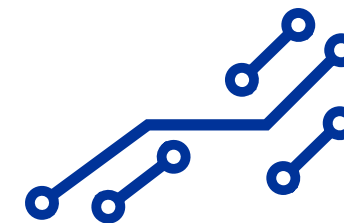
MOZAMBIQUE DATA CENTER MARKET BRIEFING

A strategic overview of the data center
investment opportunity in Mozambique

A Xalam Analytics Country Report

July 2025



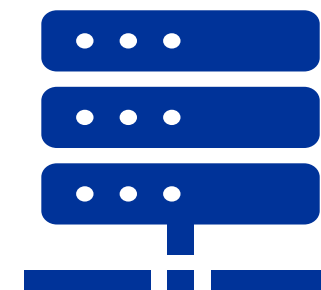


This report is part of a series of market briefs developed by Xalam Analytics at the behest of Digital Investment Facility (DIF) under the Data Governance in Africa Initiative, on the data center market opportunity in sub-Saharan Africa (“SSA”). This analysis aims to provide key insights into market demand and supply patterns for data center markets, business landscape, regulatory impact and investment returns. The research aims to provide potential investors and stakeholders with the latest information on the data center market in the SSA region.

This country review is based on our assessment of information and data as available to our research. It is further underpinned by our understanding of the marketplace along with market data and insights collected through continuous research. The numbers and estimates in this report are derived from a mix of sources, including estimates from Xalam Analytics’ economic models, data providers, regulator data and other sources as may be indicated.

This report is prepared with funds from the [Data Governance in Africa Initiative](#), a project financed by the European Union, Germany, Belgium, Estonia, Finland and France under the [Digital for Development \(D4D\) Hub](#). Its contents are the sole responsibility of Xalam Analytics and do not necessarily reflect the views of the funders.

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The Mozambique data center investment case

Leveraging a strong extractive economy potential, attractive hydropower generation capability and a strategic location on East Africa's coastline to transform a challenged economy



THE OPPORTUNITY

- **A strategic location.** Mozambique shares a border with six landlocked countries, has the opportunity to become a regional hub or gateway to international markets given its extensive coastline.
- **Low Internet penetration** (~35%), but expanding quickly.
- **Accelerating digital transformation of government and businesses**, enabled in part by the World Bank's \$150m EDGE grant.
- Extensive, hydro-based power generation capacity; Mozambique is a net exporter of electricity.

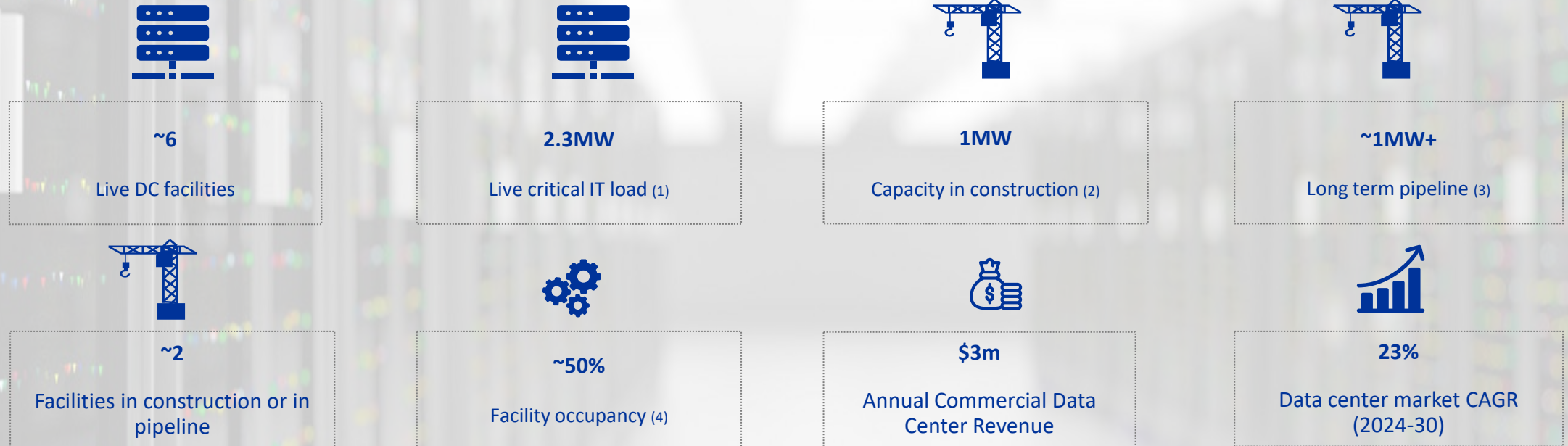


CHALLENGES & RISKS

- **Small demand scale** - ~<5MW over the medium term.
- **Highly rural population**, over two-thirds of Mozambicans live in rural areas.
- **National poverty rates have surged** in the wake of the COVID-19 pandemic.
- **Ongoing Cabo Delgado conflict** in the north creating economic uncertainty, delays in much-needed energy projects, population displacement and destruction of infrastructure.
- **Excessive bureaucracy and government participation in the economy**, with the state owning all land and having significant stakes in some of the country's largest companies.

Mozambique data center market overview

Estimates as of 2024



(1) Capacity that is active, under lease or readily available for lease by third-party customers.

(2) IT load capacity from facilities currently in construction; construction has broken ground; ongoing civil works, installation and commissioning phases are in progress.

(3) Facilities explicitly announced or listed as in development. Some execution phases have been initiated (e.g. land control, energy supply commitments, etc.), but no actual civil works have been undertaken. Capacity expected to be available by the end of 2030.

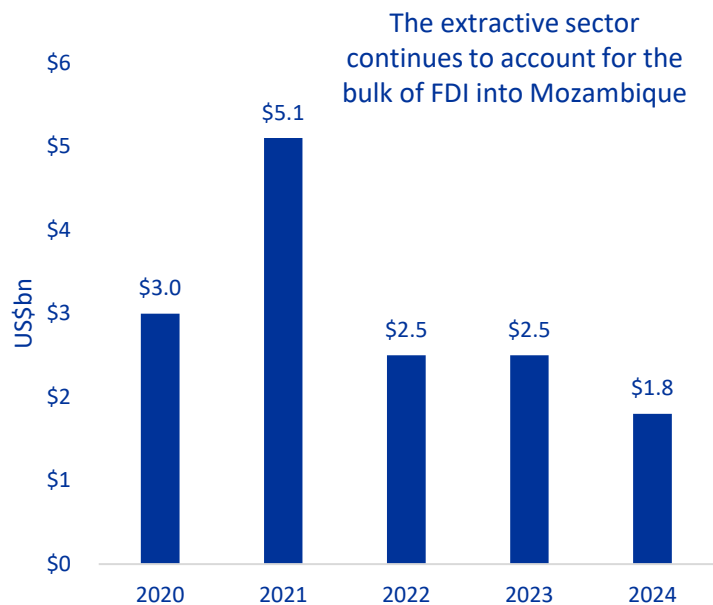
(4) Percent of available capacity that is effectively being used by third party customers.

Sources: Xalam Analytics estimates, provider data

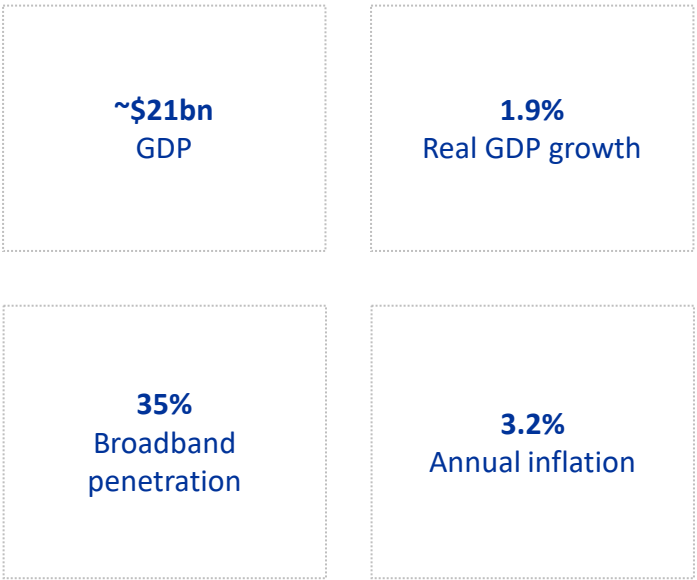
Key drivers of demand for data centers

Increased FDI flows, large-scale infrastructure projects and an increasingly connected population will continue to drive data center demand in the near term, all in the face of a challenging economic environment and intermittent political tension

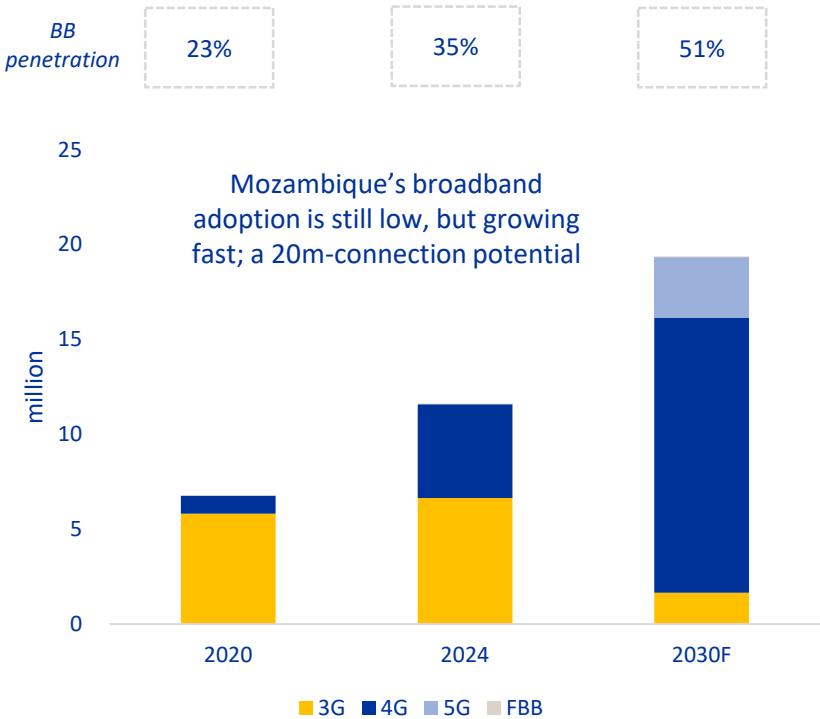
Mozambique FDI steady around \$2bn a year
US\$bn



Low Internet penetration levels and constrained economic growth
Sample Mozambique economic indicators - 2024



A broadband base that is small but expanding
- Mozambique broadband connections by type - million



Sources: IMF, World Bank, UNCTAD, INE, Xalam Analytics estimates, provider data

Data center market conditions

Mozambique's operating environment is improving; new incentives to private sector investment, ambitious power infrastructure plans and new regulations expected to bring more process transparency

Data privacy, hosting & environmental regulations



- There is no comprehensive data protection law in Mozambique nor is there a data protection agency responsible for enforcement of data sovereignty and data privacy rules.
- A draft legislation has been under consideration for the regulation of data centers and cloud services in Mozambique. The draft was put forward by the Mozambican Banking Association in consultation with INTIC, Mozambique's telecoms regulator.
- Banks and other financial institutions must have their primary data processing centers based in country. Back-up data processing facilities may be located abroad.
- Data centers are subject to Environmental Licensing which requires businesses to follow a multi-stage process including an environmental impact assessment, licensing and renewal every five years.

Electricity & Fiber Markets



- Mozambique has a power generation capacity of around 2.5 GW.
- The country is a net exporter of electricity, particularly to South Africa; Already ~75% of capacity from hydro sources.
- Mozambique is looking to leverage its hydro sources to increase both domestic and export capacity; energy transition plan aiming to add 14 GW of hydropower capacity.
- Government would like to achieve universal access to electricity by 2030.
- Power prices are relatively high, around \$0.23/kWh.

Investment Incentives



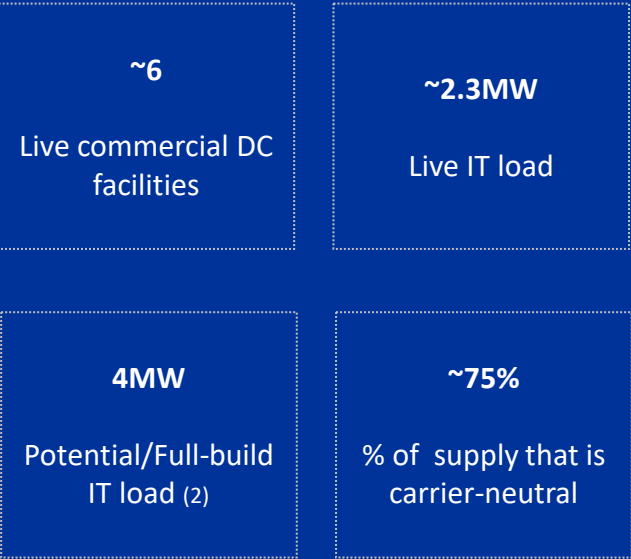
- In 2023, the government passed the Private Investment Law seeking to promote private investment in the country. The law provides tax benefits, streamlines procedures, facilitates the transfer of land use rights (DUATs) and protection against expropriation.
- The World Bank has provided Mozambique's government with a \$150m grant in support of the Digital Governance and Economic Project (EDGE) aimed at improving digital services and promoting private sector investment.

State of data center supply

Mozambique’s commercial data center capacity is still at a small scale but has witnessed strong recent expansion

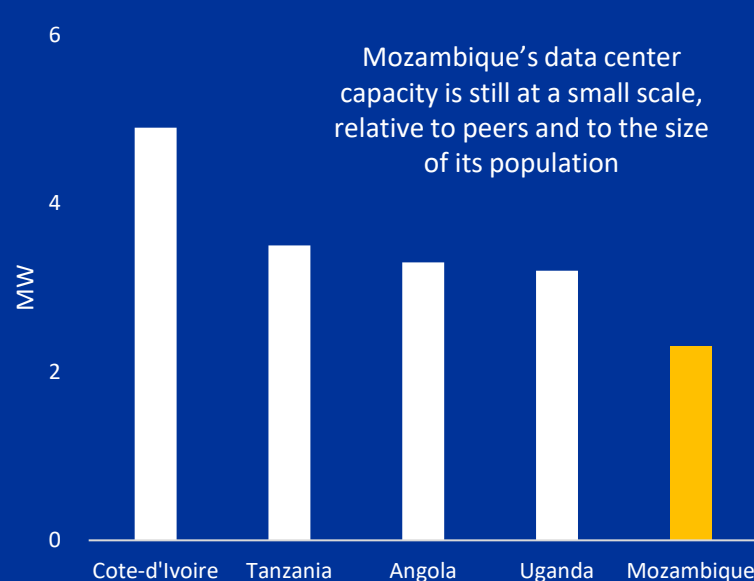
Mozambique data center supply – 2024E

Sample market indicators (1)



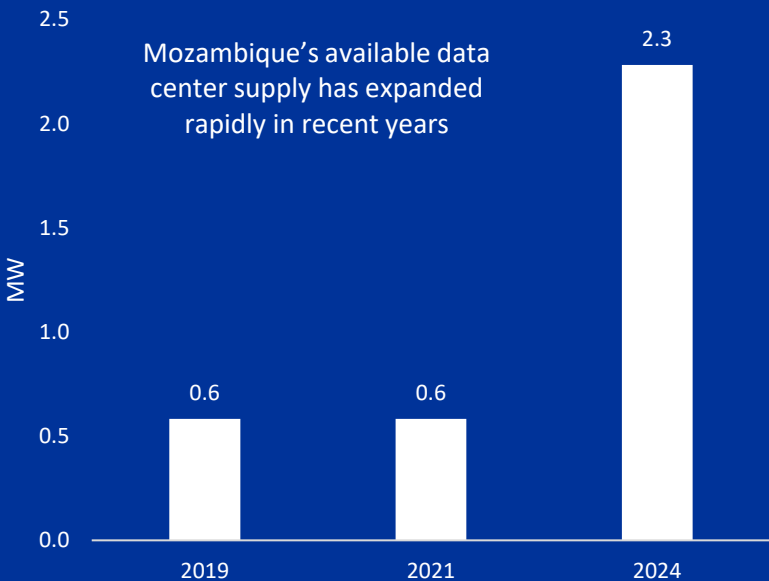
Mozambique vs. Sub-Saharan Africa peers

Live critical IT load – 2024



Mozambique data center market – evolution of live supply

Critical IT load - in MW



(1)Numbers are rounded up (2) Potential/Full-build load is facility capacity assuming that all phases of development have been completed. Additional CapEx would be needed to make the residual capacity operational.
Sources: Xalam Analytics estimates, provider data

Mozambique facility mapping – Maputo metro



Key data center market players

Carrier-neutral providers are increasingly dominating the colocation opportunity in Mozambique

Telcos & Fiber Infracos



Focused on mobility and fiber - colocation is an adjacent opportunity.

The Data Center Specialists

icolo.io



Carrier-neutral data center colocation pure plays

Government



State agency offering a range of IT services, including colocation

MSPs and Systems Integrators



A diverse MSP segment offering a mix of connectivity and hybrid IT services

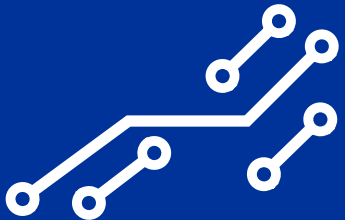
A specialist market



- Around three-fourths of Mozambique's critical IT load capacity is managed by specialist or carrier-neutral types.
- Raxio is Mozambique's largest provider, with ~50% market share as of year-end 2024.
- Digital Realty's iColo and Vodacom are both expanding capacity with new Tier III facilities, creating more competitive pressure in the market.
- The market has a moderate oversupply risk, with projected capacity that could rise above demand.



GLOSSARY & KEY DEFINITIONS



Key definitions

Data center	While there are a variety of definitions for data centers, this market review is focused on commercial facilities , that is, facilities that lease colocation white space and power capacity to third-party customers on open, commercial terms, and in exchange for a fee. Captive facilities (bank data centers, telco switch sites and similar) are excluded from this assessment. Estimates focus on facilities at Tier II standard and above, unless otherwise indicated. Where applicable, these estimates include cloud hyperscaler self-built facilities.
Live critical IT load	Capacity that is active, under lease or readily available for lease.
Full build capacity	Data center facilities are typically built in phases; the full-build capacity is capacity assuming all potential phases of build have been completed and are live.
Capacity in construction	Facilities that have broken ground; ongoing civil works, installation and commissioning phases.
Pipeline	Facilities explicitly announced or listed as in development. Some execution phases have been initiated (e.g. land acquisition, power supply commitments, etc.), but no actual civil works have been undertaken.
Carrier-neutral	Facilities not specifically affiliated to a connectivity or cloud vendor, with capacity available to all third-party customers, on equal commercial terms, without explicit or implicit constraints or favoritism. This market review uses a loose definition for carrier-neutral, referring to facilities that are purely carrier-neutral, recognized by the market or effectively managed as such.

Glossary

Below are some of the key abbreviations used in this report

AI	Artificial Intelligence
ASN	Autonomous System Number
bn	billion
CAGR	Compound Annual Growth Rate
CapEx	Capital Expenditures
CDN	Content Delivery Network
Colo	Colocation
DC	Data Center
DIF	Digital Investment Facility
EAC	East African Community
EU	European Union
F	Forecast
FBB	Fixed Broadband
FDI	Foreign Direct Investment
FX	Foreign Exchange
GDP	Gross Domestic Product
GDPR	General Data Protection Regulation
ICT	Information, Communications and Technology
ISP	Internet Service Provider
IPP	Independent Power Producer
IT	Information Technology

kW	Kilowatt
kWh	Kilowatt Hour
LLM	Large Language Models
m	million
MNC	Multinational Corporation
MNO	Mobile Network Operator
MRR	Monthly Recurring Revenue
MSP	Managed Service Provider
MW	Megawatts
NDC	National Data Center
OEM	Original Equipment Manufacturer
POP	Point of Presence
PUE	Power Usage Effectiveness
RFS	Ready For Service
SEZ	Special Economic Zone
SSA	Sub-Saharan Africa
USD	US dollar
PUE	Power Usage Effectiveness
RFS	Ready For Service
SSA	Sub-Saharan Africa
YE	Year end



Learn more:

<https://d4dhub.eu/initiatives/data-governance-in-africa>

